ALDER & LOOM

Q1 2027 trading forecast

CONFIDENTIAL / FINANCE | AL-INT-01 | Version 2.0 | 11 November 2026

Management summary and trading assumptions

Forecast basis

Prepared by Theo Bennett on 11 November 2026 for January-March 2027. All financial amounts are GBP excluding VAT unless explicitly labelled otherwise. This is a forecast, not a record of achieved sales. The base case assumes the current 12-person establishment, no new store and no debt-funded expansion.

Driver	January	February	March
Orders before returns	3,000	2,800	3,200
Gross net-of-VAT order value	55.00	55.00	55.00
Discount rate on gross sales	5%	5%	5%
Returns on discounted sales	12%	12%	12%
COGS / retained net revenue	42%	42%	42%

Revenue mechanics

Gross merchandise sales equal order count multiplied by GBP 55 excluding VAT. Discounts are 5% of gross sales. Returns are then 12% of discounted sales, giving net revenue of 83.6% of gross sales. Delivery-charge income is assumed to offset matching carrier costs within the fulfilment allowance and is not added separately to merchandise revenue.

Management interpretation

Quarter net revenue is GBP 413,820.00; operating profit is GBP 63,915.60, a 15.45% operating margin. Demand is expected to soften in February before the March seasonal refresh. The forecast requires replenishment before peak demand; November stock alone does not cover the quarter.

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Monthly profit and loss

GBP excluding VAT	Jan	Feb	Mar	Q1
Gross merchandise sales	165,000.00	154,000.00	176,000.00	495,000.00
Promotional discounts	8,250.00	7,700.00	8,800.00	24,750.00
Expected returns	18,810.00	17,556.00	20,064.00	56,430.00
Net revenue	137,940.00	128,744.00	147,136.00	413,820.00
Cost of goods sold	57,934.80	54,072.48	61,797.12	173,804.40
Gross profit	80,005.20	74,671.52	85,338.88	240,015.60
Operating expenses	58,500.00	57,000.00	60,600.00	176,100.00
Operating profit	21,505.20	17,671.52	24,738.88	63,915.60

Cost recognition

Cost of goods sold is recognised on retained sales and includes purchase cost, inbound freight and handling. Expected resalable returns reverse the related product cost. Provision for damaged returns and stock adjustments is included in the 42% blended assumption. The ratio is a weighted planning estimate, not the margin of every individual product.

Profit definitions

Gross profit is net revenue less cost of goods sold. Operating profit additionally deducts payroll, occupancy, marketing, fulfilment, technology, administration and depreciation. Interest and corporation tax are not modelled. Operating profit is not net profit or available cash.

Comparison discipline

Catalogue prices include VAT; this forecast excludes VAT. Do not compare a catalogue price directly with an ex-VAT unit cost to calculate percentage margin. Campaign-attributed sales are part of the forecast, not an extra revenue stream.

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Operating costs and staffing

Q1 expense	GBP	Basis
Gross salaries	89,000	Annual contracted pay 356,000 / 4
Employer costs	13,500	Planning allowance for NI/pensions
Rent and utilities	18,000	Warehouse, showroom and energy
Marketing	24,000	Campaign plus always-on activity
Fulfilment and packaging	19,000	Carrier/packaging net allowance
Technology	3,600	Commerce, support and reporting
Administration	6,000	Insurance and professional services
Depreciation	3,000	Equipment and fit-out
Total	176,100	Jan 58,500; Feb 57,000; Mar 60,600

Payroll assumptions

Annual gross contracted salaries in AL-INT-02 total GBP 356,000. Part-time salaries are actual annual pay, not full-time equivalents. The GBP 13,500 employer-cost figure is a budget allowance rather than a payroll tax calculation. No bonus, recruitment fee or additional permanent position is included.

Spend controls

Department owners submit commitments before ordering. Theo Bennett reviews affordability and payment terms; Maya Reed approves supplier purchase orders above GBP 5,000 excluding VAT. Contingency within the marketing budget is not authority to exceed the approved quarterly total.

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Sensitivity and working-capital risks

Case	Net revenue	Gross margin	Operating costs	Operating profit
Downside	351,747.00	56%	176,100.00	20,878.32
Base	413,820.00	58%	176,100.00	63,915.60
Upside	455,202.00	58%	184,100.00	79,917.16

Scenario assumptions

Downside revenue is 15% below base and margin falls to 56% through heavier discounting and returns. Upside revenue is 10% above base, with GBP 8,000 extra fulfilment and marketing costs. These are sensitivities, not probability-weighted estimates. Break-even net revenue at a 58% gross margin and GBP 176,100 operating costs is GBP 303,620.69.

Cash and inventory

A profit forecast does not establish cash available for supplier payments. Inventory deposits, VAT settlement timing, customer refunds and capital purchases can move cash differently from profit. Inbound orders in AL-MIX-01 require payment scheduling; obtain a separate cash-flow approval before committing discretionary spend.

Review cadence

Finance updates actual sales, realised return rate and gross margin weekly. A forecast refresh is required if net revenue runs more than 10% below plan for two consecutive weeks, or return rate exceeds 15%. Owners: Theo Bennett for finance, Idris Hale for stock exposure, Erin Shaw for supplier commitments.